Hershey

It was early 2024, and Hershey's chief financial officer (CFO), Steve Voskuil, was nervous about his upcoming meeting with Hershey's chief executive officer (CEO), Michelle Buck. The source of his anxiety was the one-year trend in global cocoa prices. Cocoa prices had more than tripled to a historically high price of over $11,000 per ton, and Hershey's stock had lost almost 30% of its value.

Even more worrying were the predictions for future cocoa prices. Voskuil was most concerned about 2024 and 2025, as he knew that the impact of higher cocoa prices would take about 9–12 months to reach consumers. In prior years, Hershey had signed long-term contracts to buy cocoa at locked-in prices, which had so far softened the negative impact on profit margins. But cocoa is one of the top ingredients in a Hershey bar, so any increase in cocoa costs would eventually affect profit margins.

As he walked into CEO Michelle Buck's office, Voskuil knew there were some tough decisions to be made. But he also knew that Hershey had weathered numerous challenges over its 130-year history and was confident that the company's leadership team and corporate culture could handle this one as well.

Background

The Hershey Company was founded in Lancaster, Pennsylvania, in 1894 by serial entrepreneur Milton Hershey, whose three previous business ventures had folded. In 1900, Hershey introduced its first namesake milk chocolate bar, followed by Hershey Kisses, Mr. Goodbar, and other chocolate treats. Chocolate production relied on imported cocoa beans, cocoa powder, and cocoa butter—all derived from cacao plants native to South America and later cultivated in countries around the equatorial "cocoa belt," including West Africa.

In the 1900s, Hershey grew rapidly, both by expanding and by acquiring other companies. It opened its first factories outside of Pennsylvania in the 1960s—in Ontario, Canada, in 1963 and in Oakdale, California, in 1965. Hershey purchased the H.B. Reese Candy Company in 1963 and Twizzlers in 1977. The company achieved $1 billion in annual sales in 1979. Growth continued into the 21st century, with additional acquisitions, global partnerships, and new factories in Mexico, Brazil, and India.

Figure 1. Some of the Hershey company's most popular treats

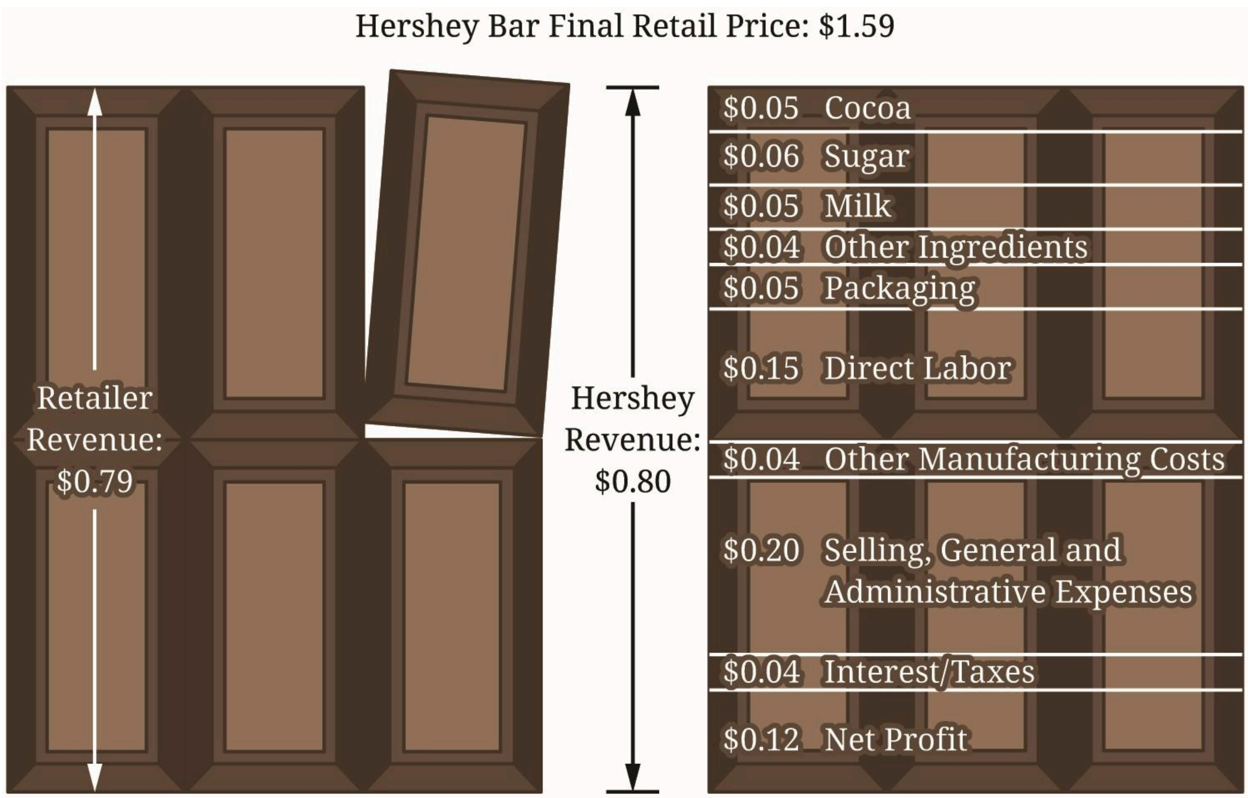
Keith Homan / Shutterstock.com

By 2022, Hershey had grown to $10.4 billion in sales and employed almost 20,000 people (Macrotrends n.d.). It held a 33% share of the U.S. chocolate market (Wunsch 2025). In addition to its namesake Hershey’s chocolate bars and kisses, the company produced well-known treats such as Reese’s, Kit Kat, Almond Joy, Rolo, and York (Figure 1).

Income from a Hershey Bar

In early 2024, the typical retail price of a Hershey bar was $1.59. About 50% of the revenue earned on each Hershey bar was retail markup, meaning that it became revenue to the retail store, not Hershey. Of the $0.80 per bar earned by Hershey, approximately 25% ($0.20) paid for ingredients, including cocoa. Another 30% ($0.24) paid manufacturing costs, including packaging, and 25% ($0.20) paid for Hershey's general overhead, including sales and administrative expenses. After the 5% ($0.04) in taxes, about 15% ($0.12) per Hershey bar was net profit to the company (Figure 2).

Continued increases in the price of cocoa would either cut into Hershey's profits or force cuts in other areas, unless Hershey could make up for the price change by raising the price of candy bars.



Estimates based on market research and Hershey's financial statements.

Figure 2. The revenue and costs of producing a single Hershey bar in 2024

The Cocoa Crisis

The global price of cocoa was approximately $2,500 per ton for a decade, but as seen in Figure 3, it spiked in 2023, with a per-ton price of around $3,000 in May, $3,500 in September, and $4,000 in December (Trading Economics n.d.). Hershey executives took action, raising their chocolate prices by 6.5% (Hershey 2024). Consumers reacted negatively to the price change and bought fewer chocolate bars, with sales volumes dropping more than 5%—profits barely budged.

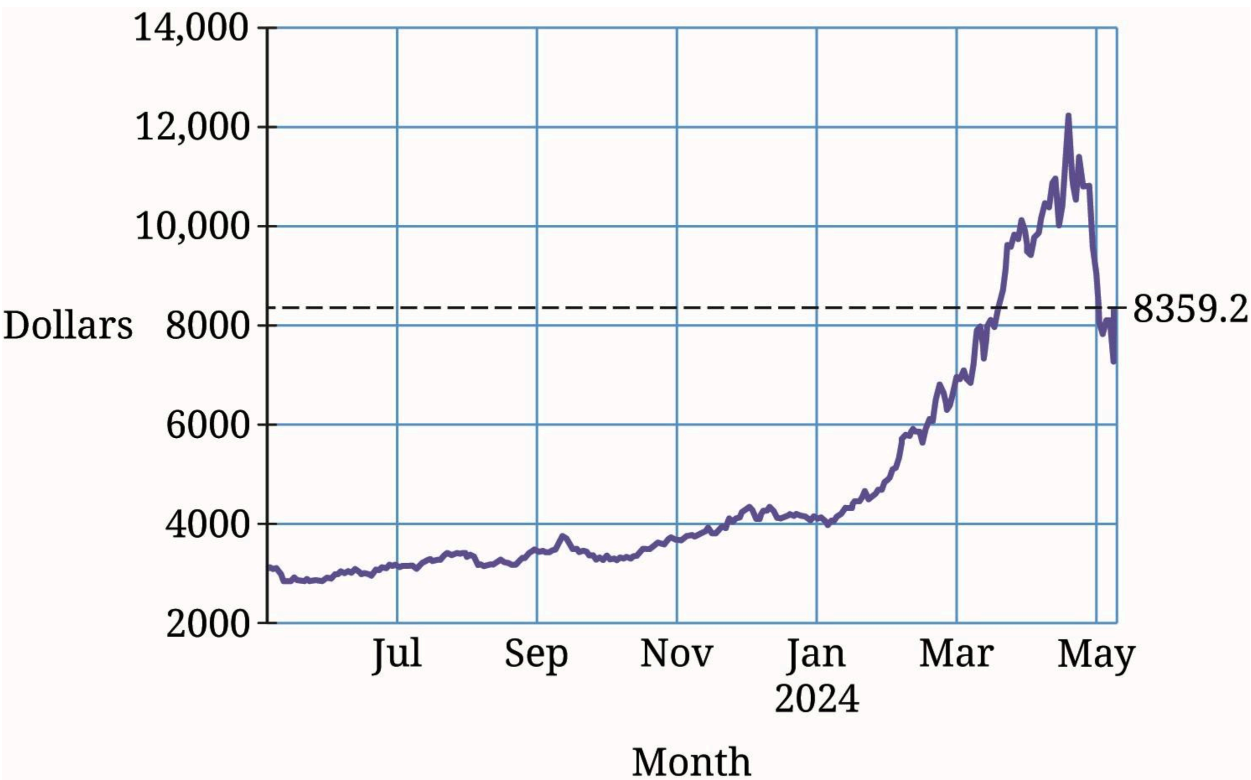


Figure 3. Global cocoa prices in 2023-2024

Meanwhile, cocoa prices continued to rise. By the end of January 2024, cocoa prices soared above $5,000 per ton, and in April 2024, the price peaked at over $12,000 per ton (Trading Economics n.d.).

The crisis was sparked by weather conditions. Heavy rainfall in 2023 caused an increase in diseases among cocoa trees. This was followed by drought and extreme winds in the major cocoa-producing countries in West Africa, including Ghana and Cote d'Ivoire. Ghana and Cote d'Ivoire were the top cocoa-producing countries in the world in 2024, with Cote d'Ivoire shipping "1.3 million metric tons of cocoa ... from October 1 [2023] to March 31 [2024], down by 27.8% from the same time last year" (Asplund 2024).

Sukanya Nag, a food technologist and innovation and strategy consultant, warned that this crisis was not a one-time event: "Prices are going to rise because the climatic conditions are predicted to worsen further, with worse climatic conditions persisting over Cote d'Ivoire and Ghana, which [together supply] almost 60% of the world's cocoa" (Thomas 2024).

Hershey reported its full-year earnings for 2022 and 2023 (Table 1) and its fourth-quarter earnings for 2022 and 2023 (Table 2), including revenues and costs from all of Hershey's operating activities. The full-year 2023 numbers were good, with revenue increasing by 7.2% and both gross and operating profits up by double-digit percentages. However, the 2023 fourth-quarter numbers compared to the prior year were a cause for concern—and showed why Voskuil was worried about 2024 and beyond.

Table 1. Hershey's simplified income statement, 2022 and 2023

HERSEY INCOME STATEMENT	2022 Full Year		2023 Full Year	% Change
Revenue	$11,164,29%		$10,419,294	*7.20%*
Cost of goods sold	($6,167,176)		($5,920,509)	*4.20%*
Gross profit	$4,997,116		$1,144,806	*11.10%*
Gross profit margin	*44.76%*		*43.15%*	
Selling, general and administrative expense	($2,436,508)		($618,160)	*8.90%*
Operating profit	$2,560,608		$2,260,787	*13.30%*
Operating profit margin	*22.94%*		*21.70%*	
Interest, taxes, and other	($699,080)		($615,970)	*13.50%*
Net profit	$1,861,528		$1,644,817	*13.20%*
Net profit margin	*16.67%*		*15.79%*	

Hershey's fiscal year is January 1-December 31.
Source: Hershey's 10-K filing with the SEC for 2022 and 2023

Table 2. Hershey's simplified income statement (for two quarters)

HERSEY INCOME STATEMENT	2023 4TH Quarter		2022 4th Quarter	% Change
Revenue	$2,657,111		$2,652,338	*0.20%*
Cost of goods sold	($1,533,969)		($1,507,532)	*1.80%*
Gross profit	$1,123,142		$1,144, 806	*-1.90*
Gross profit margin	*42.27%*		*43.15%*	
Selling, general and administrative expense	($658,813)		($618,160)	*6.60%*
Operating profit	$464,329		$526,646	*11.80%*
Operating profit margin	*17.47%*		*19.86%*	
Interest, taxes, and other	($115,187)		($130,350)	*11.60%*
Net profit	$349,142		$396,296	*11.90%*
Net profit margin	*13.14%*		*14.94%*	

Source: Hershey's 10-K filings with the SEC for 2022 and 2023

Hershey needed both a short- and long-term strategy for addressing the high cost of cocoa as Hershey's confectionary business, which is dominated by its chocolate brands, accounted for 82% of 2023 revenue and 91% of the company's gross profit.

Voskuil knew that Hershey could attempt to maintain gross profit margins in the face of increasing cost of goods sold by increasing prices. However, consumers were reaching their limit, and price elasticity would mean a drop in demand and potentially even a drop in revenue. At that point, the only option for maintaining profits would be to improve supply chain efficiency and/or reduce operating expenses. The first would likely require additional investment, while the latter might mean layoffs or difficult decisions on where to cut spending on sales and marketing.

The information contained in this business case is for educational purposes only. The companies or parties referenced herein are neither affiliated with, nor endorsed by, the AP Program. The companies and parties referenced herein do not endorse the AP Program.

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1. What business is featured in this case? What product(s) does the business provide?

2. Who is named in the case, and what is/are their role(s)? Describe other stakeholders (individuals and groups) with an interest in the business.

3. Describe an opportunity and/or challenge facing the business in this case.

1. Explain why Steve Voskuil was concerned about the global price of cocoa.

2. Identify three costs in Figure 2 that are part of Hershey's cost of goods sold (COGS).

3. Explain how customer responsiveness to price changes limited Hershey's pricing power in this scenario.